

ITEM NO.42

COURT NO.10

SECTION II-A

S U P R E M E C O U R T O F I N D I A  
RECORD OF PROCEEDINGS

Petition(s) for Special Leave to Appeal (Crl.) No(s). 5031/2016

(Arising out of impugned final judgment and order dated 25-08-2015  
in MCRC No. 7448/2015 passed by the High court of m.p at gwalior)

THE STATE OF MADHYA PRADESH

Petitioner(s)

VERSUS

RAVINDRA SINGH CHAUHAN

Respondent(s)

Date : 05-07-2017 This petition was called on for hearing today.

CORAM :

HON'BLE MR. JUSTICE ARUN MISHRA

HON'BLE MR. JUSTICE AMITAVA ROY

For Petitioner(s) Mr. Sunny Choudhary, aDv.  
Mr. Arjun Garg, AOR

For Respondent(s) Mr. Deepak Kumar Singh, adv.  
Mr. Dipesh Dwivedi, Adv.  
Mr. Nitin Kumar Thakur, AOR

UPON hearing the counsel the Court made the following  
O R D E R

Leave granted.

The impugned order is set aside and the appeal is allowed  
in terms of the signed order.

(NEELAM GULATI)  
COURT MASTER (SH)

(TAPAN KUMAR CHAKRABORTY)  
BRANCH OFFICER  
(signed order is placed on the file)

IN THE SUPREME COURT OF INDIA  
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL No(s) . OF 2017  
(Arising out of SLP(Crl.) No. 5031 of 2016)

THE STATE OF MADHYA PRADESH

Appellant(s)

VERSUS

RAVINDRA SINGH CHAUHAN & ANR.

Respondent(s)

O R D E R

1. Leave granted.
2. Heard learned counsel for the parties.
3. The State of Madhya Pradesh has come up in the appeal questioning the order passed by the High Court of Madhya Pradesh Bench at Gwalior in M.Cr.C. No. 7448 of 2015 filed under Section 482 Code of Criminal Procedure, 1973 (in short 'the Cr.P.C.') quashing the criminal prosecution which was initiated by the respondents of commission of offence under Sections 420, 467 and 468 of the Indian Penal Code, 1860 (in short 'the IPC'). The offences were not compoundable. The accused -Sandeep preferred a petition in which it was

stated by the complainant that he did not wish to pursue the prosecution further. Consequently, the High Court has relied upon the decision of this Court in Narinder Singh & Ors. vs. State of Punjab & Ors. [(2014) 6 SCC 466] and has quashed the prosecution on the ground that there is no possibility of any conviction or else it may lead to failure of justice. Consequently the FIR has been quashed aggrieved thereby the State has come up in the appeal.

4. Having heard learned counsel for the parties at length, we are of the considered opinion that the High Court should not have quashed the criminal prosecution considering the nature of the allegation levelled against the accused. As the offence was quite serious one and the FIR discloses that the accused had impersonated as the Major of the Army putting on fake uniform of Major and moving in the vehicle having red light and offered job in Assam Rifles and cheated a sum of Rs.7,40,000/- (Rupees seven lakh forty thousand only) and issued fake appointment order. In the backdrop of the aforesaid facts, the offence came to be registered.

It was however submitted by the learned counsel appearing on behalf of the accused that since the complainant has repudiated the aforesaid allegation the High Court was justified in quashing the FIR.

5. We are of the considered opinion that considering the nature of the allegation and considering the law laid down by this Court in State of Maharashtra vs Vikram Anantrai Doshi & Ors. [(2014)15 SCC 29] the impugned order is not sustainable. The relevant portion of the said decision is extracted hereunder:

"18. Recently, in Narinder Singh v. State of Punjab [(2014)6 SCC 466] a two-Judge Bench placed reliance on Gian Singh's case (supra) and Dimpy Gujral v. Union Territory, Chandigarh and distinguished the decision in State of Rajasthan v. Sambhu Kevat, and came to hold that in the facts of the said case the proceedings under Section 307 deserved to be quashed. The two-Judge Bench laid down certain guidelines by which the High Courts would be guided in giving adequate treatment to the settlement between the parties and exercising its power under Section 482 of the Code while accepting the settlement and quashing the proceedings or refusing to accept the settlement. Some of the guidelines which are relevant for the present purpose are reproduced below :-

"29.2(II) When the parties have reached the settlement and on that basis petition for quashing the criminal proceedings is filed, the guiding factor in such cases would be to secure:

- (i) ends of justice, or
- (ii) to prevent abuse of the process of any court.

While exercising the power the High Court is to form an opinion on either of the aforesaid two objectives.

29.3 (III) Such a power is not be exercised in those prosecutions which involve heinous and serious offences of mental depravity or offences like murder, rape, dacoity, etc. Such offences are not private in nature and have a serious impact on society. Similarly, for offences alleged to have been committed under special statute like the Prevention of Corruption Act or the offences committed by Public Servants while working in that capacity are not to be quashed merely on the basis of compromise between the victim and the offender.

29.4(IV) On the other, those criminal cases having overwhelmingly and pre-dominantly civil character, particularly those arising out of commercial transactions or arising out of matrimonial relationship or family disputes should be quashed when the parties have resolved their entire disputes among themselves.

29.5 (V) While exercising its powers, the High Court is to examine as to whether the possibility of conviction is remote and bleak and continuation of criminal cases would put the accused to great oppression and prejudice and extreme injustice would be caused to him by not quashing the criminal cases."

24. In the case at hand, as per the chargesheet the respondents had got LCs issued from the bank in favour of fictitious companies propped up by them and the fictitious beneficiary companies had got letters of credits discounted by attaching their bogus bills. The names of 10 fictitious companies have been mentioned in the chargesheet. Thus, allegation of forgery is very much there. As is manifest from the impugned order, the learned Single Judge has not adverted to the same. It is not a simple case where an accused has borrowed money from the bank and diverted it somewhere else and, thereafter, paid the amount. It does not fresco a situation where there is dealing between a private financial institution and an accused, and after initiation of the criminal proceedings he pays the sum and gets the controversy settled. The expose of facts tells a different story. As submitted by the learned Counsel for CBI the manner in which the letters of credits were issued and the funds were siphoned has a foundation in criminal law. Learned counsel would submit that it does not depict a case which has overwhelmingly and predominatingly civil flavour. The intrinsic character is different. Emphasis is laid on the creation of fictitious companies.

26. We are in respectful agreement with the aforesaid view. Be it stated, that availing of money from a nationalized bank in the manner, as alleged by the investigating agency, vividly exposits fiscal impurity and, in a way, financial fraud. The modus operandi as narrated in the

chargesheet cannot be put in the compartment of an individual or personal wrong. It is a social wrong and it has immense societal impact. It is an accepted principle of handling of finance that whenever there is manipulation and cleverly conceived contrivance to avail of these kind of benefits it cannot be regarded as a case having overwhelmingly and predominanting of civil character. The ultimate victim is the collective. It creates a hazard in the financial interest of the society. The gravity of the offence creates a dent in the economic spine of the nation. The cleverness which has been skillfully contrived, if the allegations are true, has a serious consequence. A crime of this nature, in our view, would definitely fall in the category of offences which travel far ahead of personal or private wrong. It has the potentiality to usher in economic crisis. Its implications have its own seriousness, for it creates a concavity in the solemnity that is expected in financial transactions. It is not such a case where one can pay the amount and obtain a "no due certificate" and enjoy the benefit of quashing of the criminal proceeding on the hypostasis that nothing more remains to be done. The collective interest of which the Court is the guardian cannot be a silent or a mute spectator to allow the proceedings to be withdrawn, or for that matter yield to the ingenuous dexterity of the accused persons to invoke the jurisdiction under Article 226 of the Constitution or under Section 482 of the Code and quash the proceeding. It is not legally permissible. The Court is expected to be on guard to these kinds of adroit moves. The High

Court, we humbly remind, should have dealt with the matter keeping in mind that in these kind of litigations the accused when perceives a tiny gleam of success, readily invokes the inherent jurisdiction for quashing of the criminal proceeding. The court's principal duty, at that juncture, should be to scan the entire facts to find out the thrust of allegations and the crux of the settlement. It is the experience of the Judge comes to his aid and the said experience should be used with care, caution, circumspection and courageous prudence. As we find in the case at hand the learned Single Judge has not taken pains to scrutinize the entire conspectus of facts in proper perspective and quashed the criminal proceeding. The said quashment neither helps to secure the ends of justice nor does it prevent the abuse of the process of the Court nor can it be also said that as there is a settlement no evidence will come on record and there will be remote chance of conviction. Such a finding in our view would be difficult to record. Be that as it may, the fact remains that the social interest would be on peril and the prosecuting agency, in these circumstances, cannot be treated as an alien to the whole case. Ergo, we have no other option but to hold that the order of the High Court is wholly indefensible."

6. In view of the aforesaid dictum of this Court, the High Court ought to have taken into consideration the facts and circumstances of the case before quashing the prosecution considering the serious nature of the allegation



in which the impersonation has been made and fake appointment letter had been issued that too for the purpose of recruitment in Assam Rifles. It was such a case, which could not have been quashed by the High Court. Thus, we unhesitatingly set aside the order passed by the High Court and remit the case to the trial court for trial in accordance with law.

7. The observations made in this Order or by the High Court shall not come in the way of the trial court in deciding the matter in accordance with law on the basis of the evidence to be adduced.

8. It was submitted by the learned counsel appearing on behalf of the accused that against the main accused no chargesheet has been filed. We are not at all influenced by the aforesaid submission raised on behalf of the accused. It is for the trial court to consider against whom the offence is made out in the course of the trial or at the stage of framing of the charge.

10. The Impugned order of the High Court is set aside and the the appeal is allowed.

.....J.  
(ARUN MISHRA)

.....J.  
(AMITAVA ROY)

NEW DELHI;  
JULY 05, 2017